



US Housing: 2025 Q1

As headwinds persist for the US housing market, all eyes are on the spring selling season.



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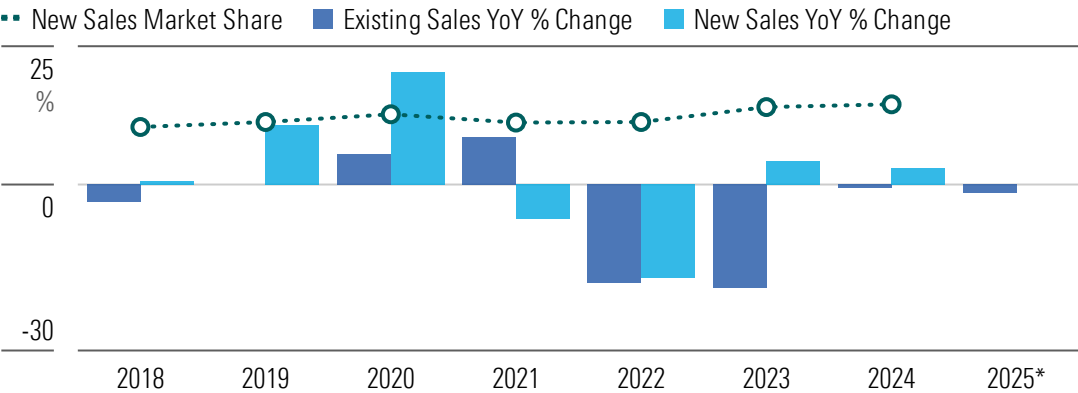
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Executive Summary

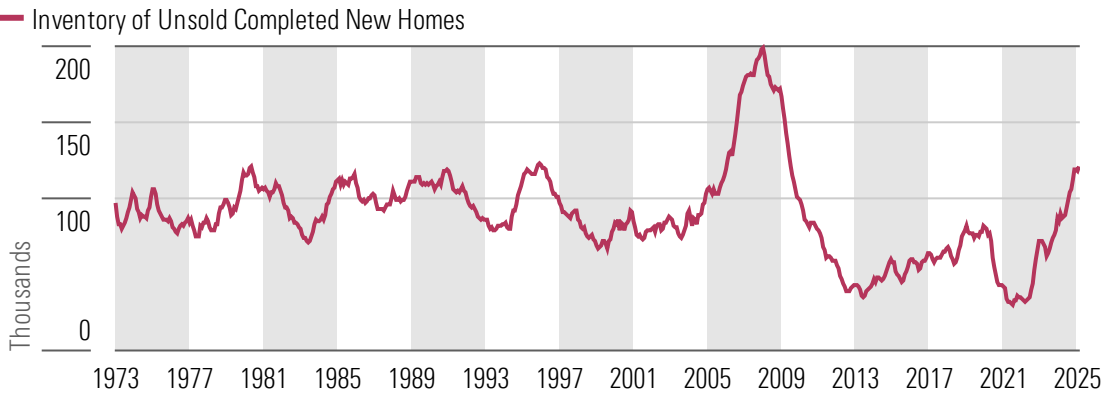
Affordability remains a key challenge for the US housing market.

Spring Selling Season Will Be a Litmus Test for Strength of the US Housing Market

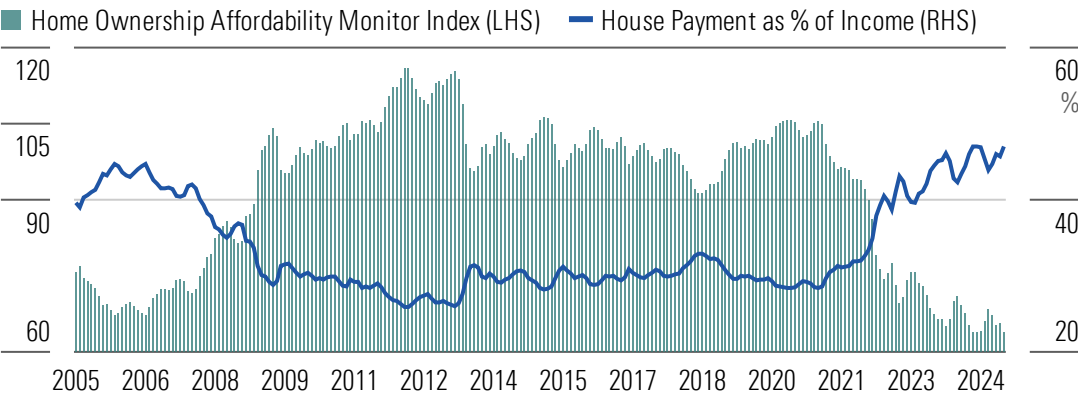
Spring Selling Season Will Set the Tone for Home Sales in 2025



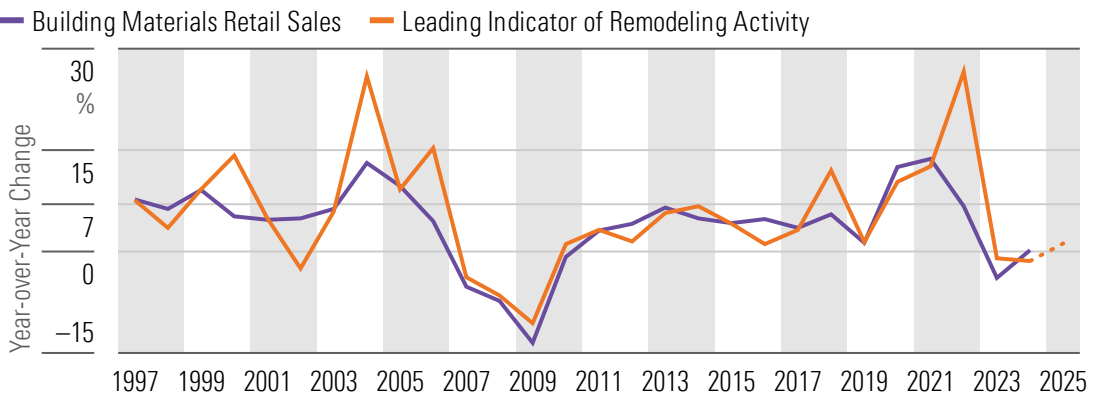
Homebuilders Are Looking to Move Unsold Inventory



Sales Incentives Will Persist as Affordability Remains a Challenge



Repair and Remodel Spending Stabilized; Poised for Moderate Growth in 2025



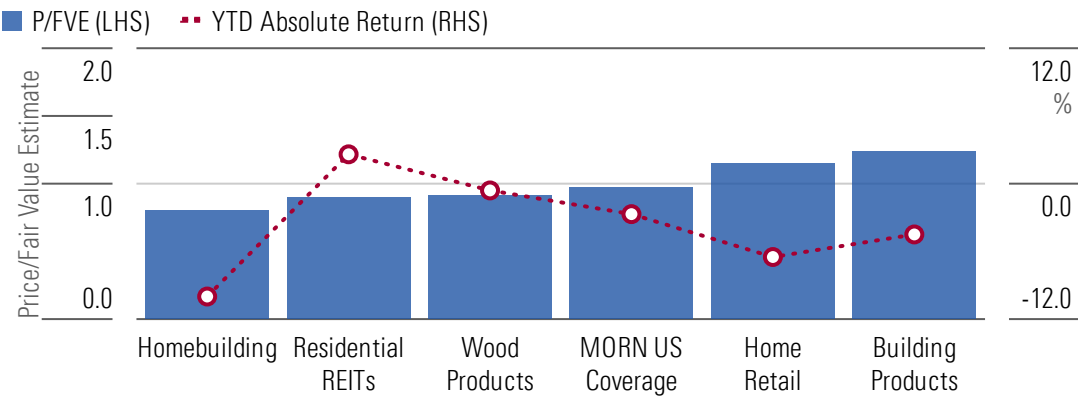
The Market Has Soured on Housing-Related Stocks as Economic Uncertainty Builds

US housing-related stocks have underperformed the broader market since President Trump's election, which tells us the market is fearful that the administration's immigration policy will exacerbate the construction labor shortage and tariffs will reignite inflation —unwelcome developments for a housing market that's already plagued by poor affordability. While we agree that these policies will result in some headwinds for homebuilders, home improvement retailers, and building product manufacturers, we believe the market is pricing in an overly bearish outlook.

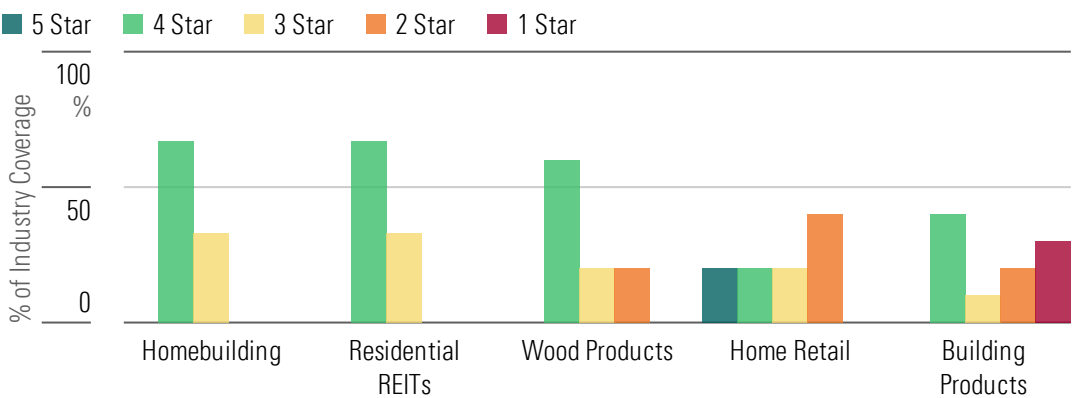
Despite what seems to be a mixed sales environment heading into the spring selling season, we still expect single-family starts to grow about 3% in 2025 as homebuilder sales incentives continue to attract buyers. While we forecast multifamily starts will decline by 4% in 2025, we think this year will mark the bottom for multifamily construction and we expect multifamily starts will begin to rebound in 2026.

As of March 31, more than half of our housing-related coverage was undervalued. That's a stark difference from last quarter when less than 15% of housing-related stocks were undervalued. Our top picks are Lennar (homebuilding), A.O. Smith (building products), Weyerhaeuser (wood products), Wayfair (home goods retail), and Sun Communities (residential REIT). We don't think the market is giving Lennar credit for its more capital-efficient operations. A.O. Smith is a wide-moat company that is being punished for a period of slower growth. We like Weyerhaeuser's diverse exposure to wood products and its timberland portfolio. Advertising and B2B opportunities should boost Wayfair's growth prospects, and we believe Sun Communities will produce above-REIT average same-store net operating income growth over the next several years.

Many Housing-Related Stocks Have Underperformed the US Market



And We Now See More Compelling Investment Opportunities



Source: Morningstar. Data as of March 31, 2025.

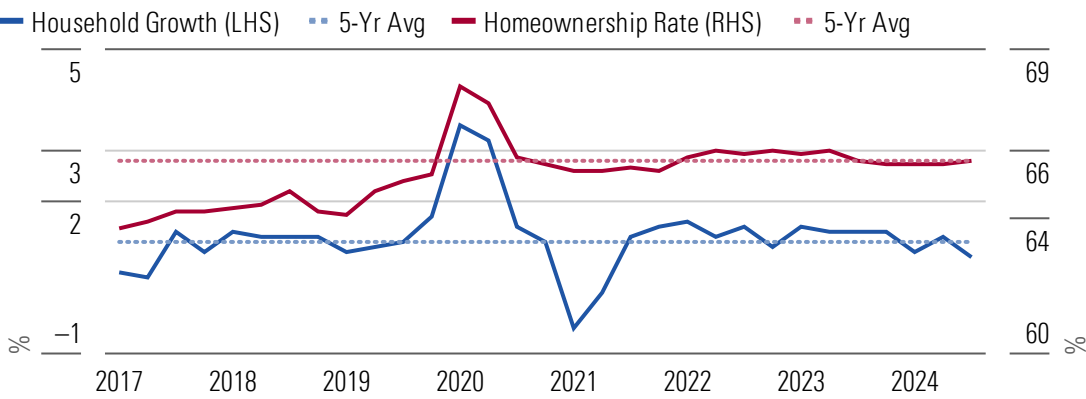
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Housing Demand

Higher mortgage rates have sidelined some prospective homebuyers.

Pace of Household Formations Slowed in 2024, but Homeownership Rate Held Steady

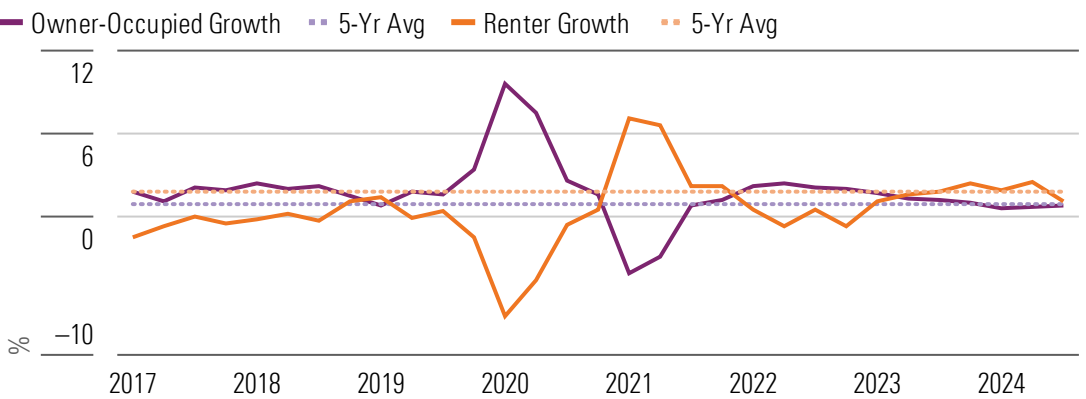
Household Formations Slowed, but Homeownership Rate Steady at Around 66%



We estimate the number of occupied housing units in the United States increased roughly 1% in 2024, to approximately 132 million units, which equates to 1.4 million household formations last year. While lower than the 2.0 million and 1.8 million household formations in 2023 and 2022, respectively, the number of new households formed in 2024 was still above the 10-year average of 1.1 million.

At the end of the fourth quarter of 2024, there were 86.9 million owner-occupied units, 0.8% higher than the year-ago quarter, and 45.5 million renter-occupied units, up 1.1% year over year. Considering challenging homeownership affordability and more supply of multifamily units entering the market in 2025, we think renter-occupied growth will continue to outpace owner-occupied growth this year as it did over the last six quarters.

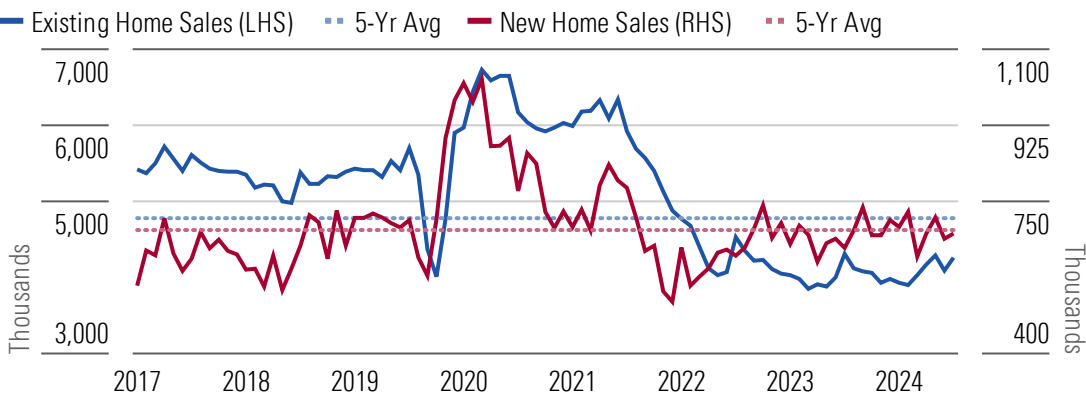
Faster Renter-Occupied Household Growth Has Persisted, but Slowed During Q4



The national homeownership rate (owner-occupied homes divided by total occupied homes) has hovered around 66% for the last four years. That’s much improved from the historical low of 63% in 2016, but well below the mid-2000s housing boom peak near 69%. The 35-44-year-old cohort has seen the strongest homeownership rate gains since 2019. According to the National Association of Realtors’ 2024 Profile of Home Buyers and Sellers Generational Trends report, this age cohort, deemed as “older millennials” represented 21% of all homebuyers, and “younger millennials” (age 25-33) accounted for 17% of homebuyers. Taken together, millennials’ 38% share of homebuyers was the highest among all generations.

New Homes Sales Still Dependent on Homebuilder Incentives; Existing Home Sales Remain in the Doldrums

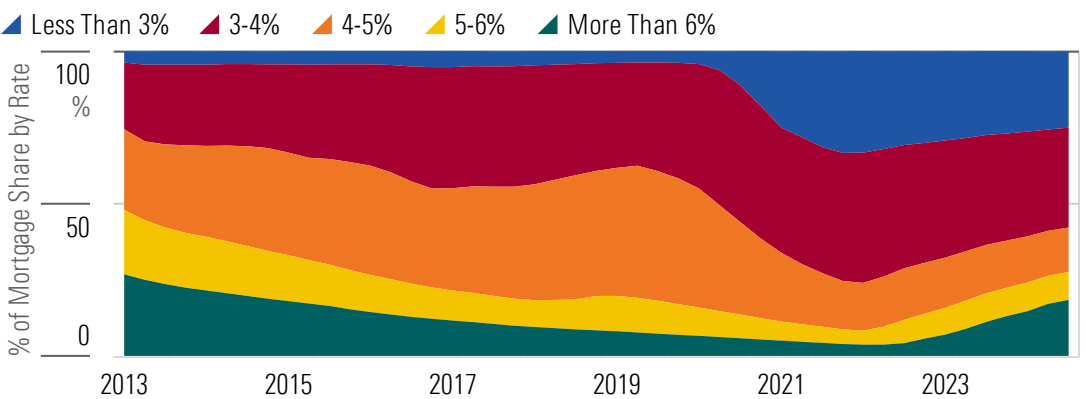
Existing Sales Remain Subdued; New Sales Fueled by Incentives



Existing home sales have declined for three consecutive years, and 2024’s sales of 4.06 million were 34% lower than 2021’s 6.12 million, and about 13% lower than the 25-year historical average near 4.60 million. Even so, existing home sales stabilized in 2024, declining less than 1% year over year. Conversely, after declining 17% year over year in 2022, new home sales grew for two consecutive years, up 4% in 2023 and 3% higher in 2024.

We believe higher mortgage rates have been a major barrier that prevents greater housing turnover. A Federal Housing Finance Agency report concluded that the so-called rate lock-in effect prevented 1.72 million home sales between the second quarters of 2022 and 2024¹. That’s because many homeowners are reluctant to sell homes financed with a low mortgage rate only to purchase a home with a much higher mortgage rate. According to the FHFA, as of the third quarter of 2024, 82% of outstanding mortgages had a contract rate less than 6%, and 25% had a rate less than 3%². Even so, millions of sales transactions are still occurring, and therefore, we would expect the portion of outstanding mortgages with ultra-low rates will continue to decline if rates remain elevated.

Most Outstanding Mortgages Have Rates Below 6%, but Share Is Shrinking



Homebuilders have found success over the last two years by selling more affordable homes (the result of building smaller homes, offering more sales incentives, and in some cases, lowering base prices) and building more speculative, or “quick move-in homes,” to capitalize on less competition from the existing for sale market.

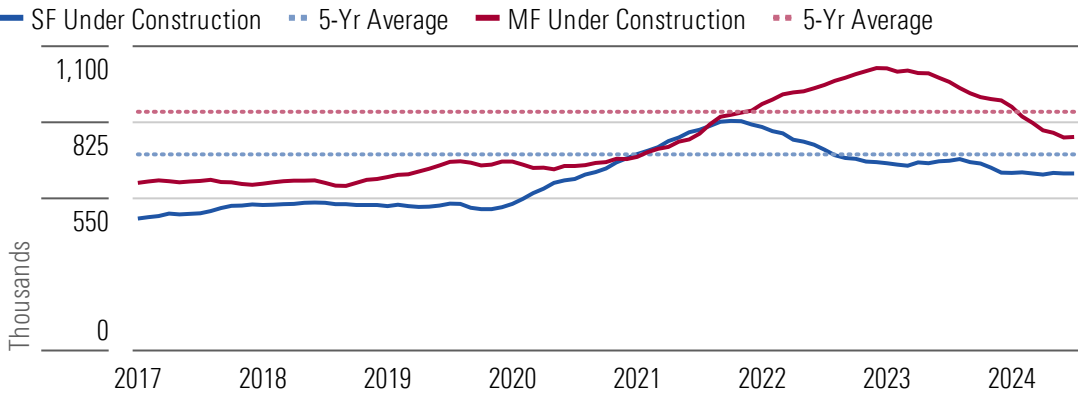
Source: National Association of Realtors, US Census Bureau, Federal Housing Finance Agency, Morningstar. Monthly home sales data is seasonally adjusted and annualized.
1. [The Lock-In Effect of Rising Mortgage Rates](#). 2. Weighted by the value of the unpaid principal balance of the mortgage. See Important Disclosures at the end of this report.

Housing Supply

Speculative building has led to greater supply of unsold new homes.

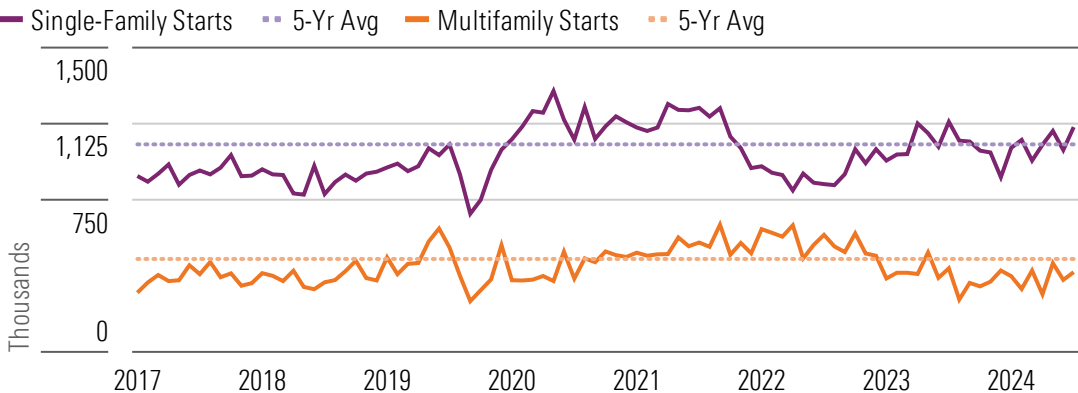
Construction Backlog Shrinking Due to Fewer Multifamily Starts; Single-Family Starts Increased in 2024

Construction Backlog Is Normalizing Due to Less Multifamily Development



According to US Census Bureau estimates, approximately 1.39 million homes were under construction at the end of February 2025 (0.62 million single-family and 0.77 million multifamily). That’s 20% lower than the peak construction backlog of over 1.7 million units in late 2022. Even so, the number of housing units under construction is still above prepandemic levels. Indeed, between 2017 and 2019, the construction backlog averaged approximately 1.1 million units.

More than 1 Million Single-Family Homes Were Started in 2024



Single-family housing starts increased 7% year over year in 2024 as homebuilders’ strategy to build more spec homes and offer sales incentives, like mortgage rate buydowns, continued to attract buyers. Solid demand for new construction has kept the single-family home construction backlog above 0.6 million. The average length of time to build a single-family home (authorization to completion) steadily increased from 7.8 months in 2020 to 10.1 months in 2023 due to pandemic-related supply chain challenges, labor shortages, and so on. However, supply chains have mostly healed and we think construction cycle times have largely normalized. While some industry observers fear that immigration and tariff policies could once again lengthen cycle times, as discussed in our recent [US Housing Insights: Immigration and Tariff Policy](#) report, we think that concern is overblown.

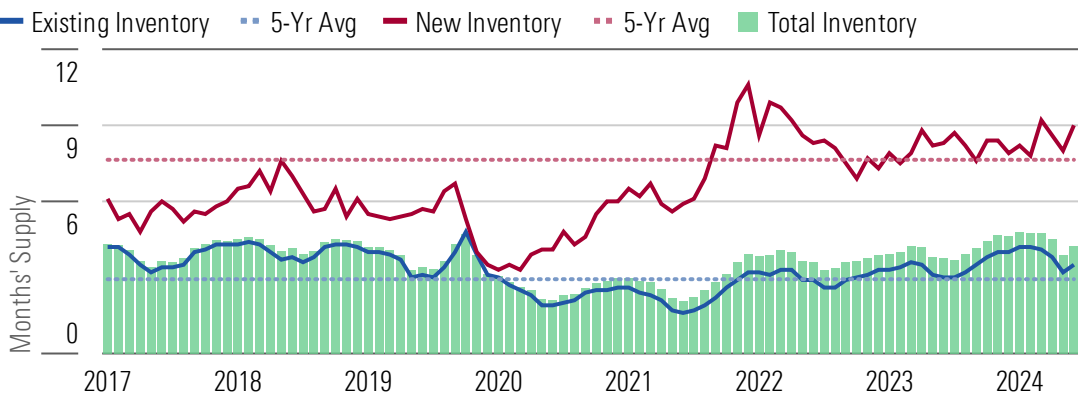
Multifamily construction surged in 2021-22 as developers looked to capitalize on favorable rental market dynamics (attractive rent growth, high occupancy rates, and low capitalization rates). However, with a sizable amount of new rental unit completions in 2024 and more to come in 2025, along with moderating rents and elevated construction and financing costs, new multifamily development remains subdued.

Source: US Census Bureau, Morningstar. Monthly starts data is seasonally adjusted and annualized.

See Important Disclosures at the end of this report.

Vacancy Rates Have Ticked Higher Amid Greater Supply of New Single and Multifamily Units

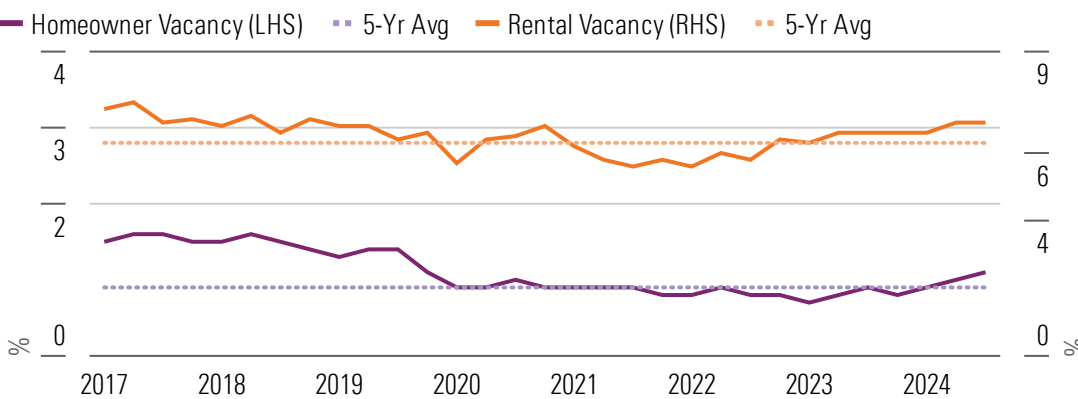
More Spec Building Has Led to Above-Average Supply of New Unsold Homes



Existing for sale inventory fell to a record low of just 1.6 months of supply in January 2022. But inventory gradually increased over the last two years, reaching a four-month supply by the summer of 2024, a level that persisted through October. However, existing for sale inventory once again fell below 4 months since then. That’s just below the low end of what we would characterize as a healthy level of supply (that is, four to six months). Even so, for sale inventory has surpassed prepandemic levels in several major housing markets, such as Austin, San Antonio, Orlando, Tampa, New Orleans, and Charlotte.

Homebuilders became more aggressive with speculative building over the last two years, looking to capitalize on the constrained supply of existing for sale inventory across many markets. As a result, the supply of new homes for sale has averaged above eight months since 2024, which is above the six-month historical average. The number of unsold completed homes has almost quadrupled since the spring of 2022, reaching 121,000 units in February, above the historical average of 89,000 units, but below the 199,000-unit peak during the global financial crisis. We think homebuilders will closely manage unsold home inventory in 2025 and will pull back on starts if the spring selling season disappoints.

Homeowner and Rental Vacancy Rates Increased in 2024



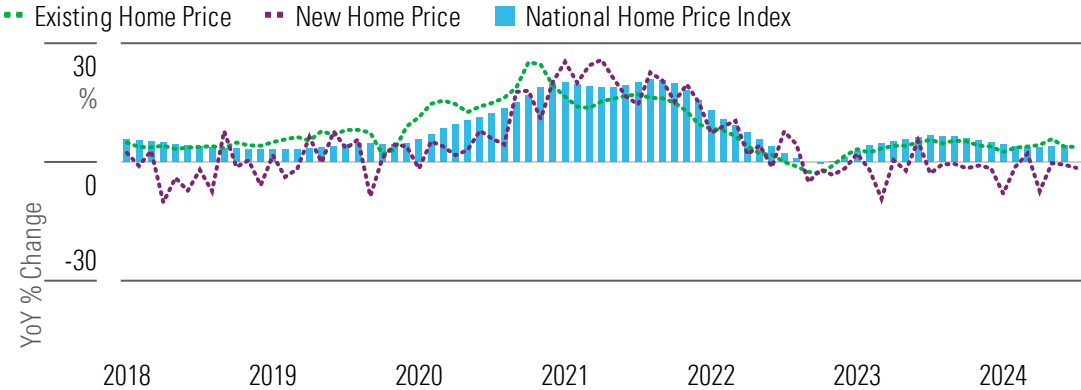
Multifamily construction increased significantly over the last several years and the rental vacancy rate of 6.9% is the highest it's been since the first quarter of 2020, but still below the 50-year historical average of 7.3%. Meanwhile, the fourth-quarter owner-occupied vacancy rate of 1.1% increased 20 basis points year over year but sits below the historical average of 1.6%.

Affordability and Construction Costs

Tariffs will be an added headwind; we think industry will absorb some costs.

Median Sales Price for Existing Homes Reaches Record High; Homebuilders Continue to Focus on Affordability

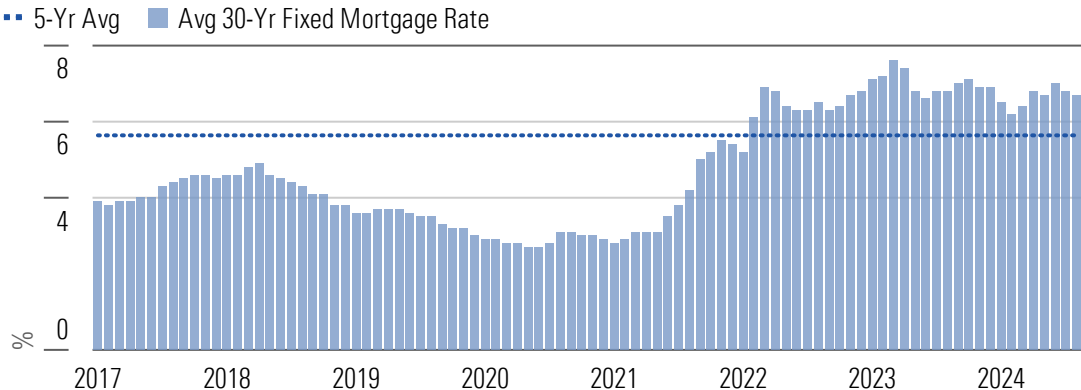
New Home Price Premium Has Shrunk as Homebuilders Look to Lure More Buyers



According to the National Association of Realtors, the median sales price for existing homes increased 50% between 2019 and 2024, from \$271,900 to \$407,600. While price appreciation decelerated during the second half of 2022 and turned negative in spring 2023, price appreciation returned thereafter, averaging about 4% year over year since July 2023.

The S&P CoreLogic Case-Shiller US National Home Price Index tracks single-family existing home prices adjusted for constant quality, so changes in home type, size, or physical characteristics don't skew the index. The year-over-year change in the index decelerated during much of 2022 and briefly turned negative in May 2023 (down 0.3% year over year), but the index has increased by about 5%, on average, since the fall of 2023.

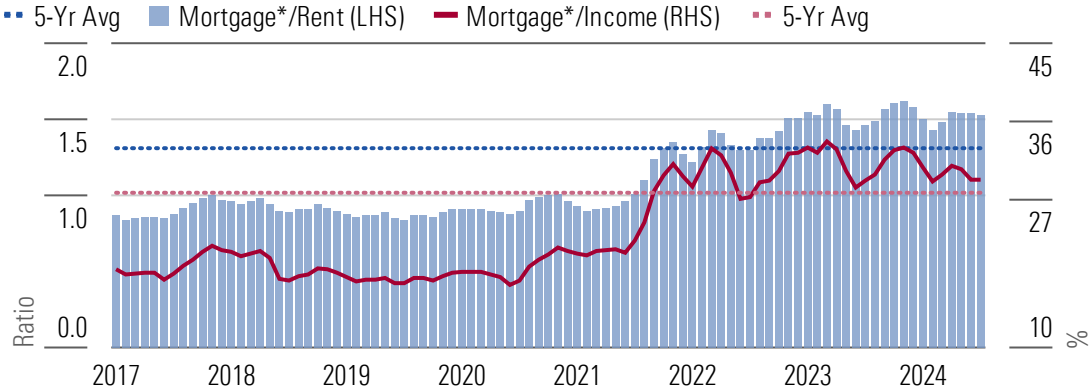
The Average 30-Year Fixed-Rate Mortgage Remains Near 7%



Homebuilders have used sales incentives, base price reductions, and smaller floor plans and lot sizes to make homes more affordable, and these actions have buoyed new home sales. According to the National Association of Home Builders, the share of builders offering incentives (such as mortgage-rate buydowns) in March was 59%, and 29% of homebuilders reported lowering base prices by 5% on average. Over the near term, we suspect homebuilders will continue to offer more sales incentives to reduce the supply of unsold spec homes. That said, homebuilders will likely be able to pull back on incentives as mortgage rates subside. Unfortunately, the average 30-year fixed mortgage rate has increased over 50 basis points since September 2024. Nevertheless, we forecast the average 30-year fixed rate will decline to 5.60% in 2026 and 5.00% in 2027.

Renting Is More Affordable Than Homeownership in Many Markets; Construction Costs Rising at Moderate Pace

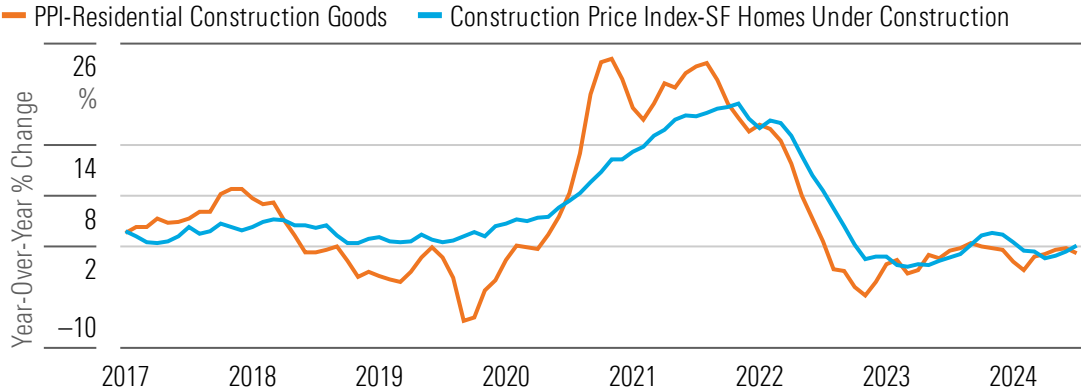
Renting Remains More Affordable Than Homeownership at the National Level



According to the US Census Bureau, the median asking rent has increased at about an 8% compound annual growth rate since the first quarter of 2019. Nevertheless, the national median mortgage payment exceeds the national median rent, implying that renting is more affordable than homeownership on the national level. This condition has persisted since 2022. Assuming a 20% down payment and the prevailing 30-year fixed-rate mortgage as of late March (6.65%), we estimate the median existing home price would need to decline by approximately 29% to achieve a neutral mortgage/rent ratio.

Construction costs spiked during 2020-22 as increased construction activity and supply chain disruptions drove up the price of building materials. For instance, lumber prices soared more than sixfold between spring 2020 and mid-2021. But construction cost inflation began to ease in late 2022 and there was a period of deflation by late 2023. Lumber was a key factor behind construction cost deflation as lumber prices in 2023 were roughly 70% below the May 2021 peak. However, modest construction cost inflation returned in 2024 with costs up by a low-single-digit percentage. Construction labor wage inflation has eased from 6.5% during late 2022 and early 2023 to about 4.0% more recently, but that’s still above the 3% historical average.

Construction Costs Increased at a Low-Single-Digit Percentage in 2024



As discussed in our recent [US Housing Insights: Immigration and Tariff Policy](#) report, we’re not expecting major disruption to the construction labor supply due to deportations, and most goods used to construct a home are manufactured domestically. As such, we estimate tariffs on imports from China, Canada, and Mexico will increase construction costs by a low-single-digit percentage. Despite industry rhetoric, we think the value chain will absorb some of these added costs and/or find alternative suppliers.

Homebuilder Data

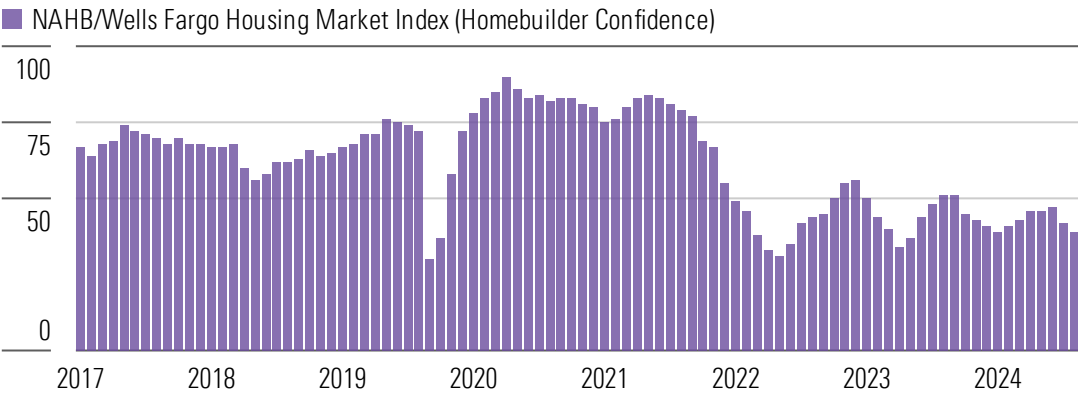
Sales incentives remain an effective tool to boost demand.

Homebuilder Confidence Has Slumped on Sales Pace Jitters and Tariff Concerns

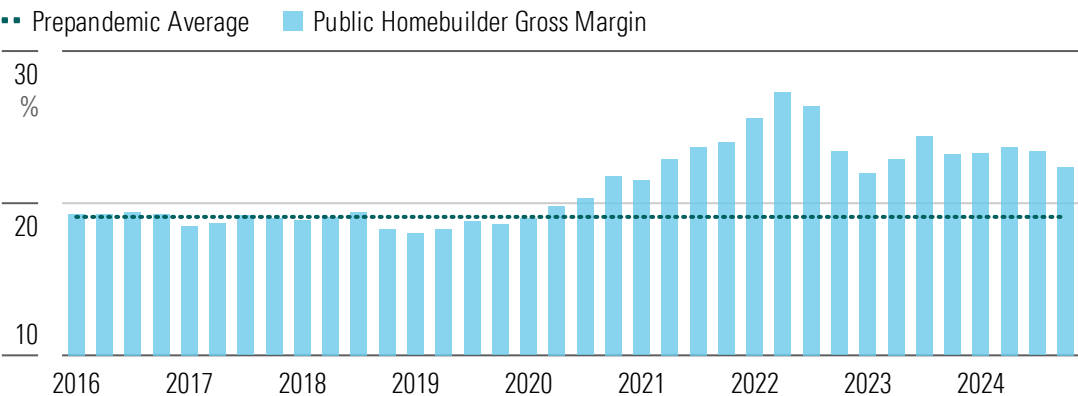
Homebuilder confidence has ebbed and flowed over the last two years. Indeed, the National Association of Home Builders/Wells Fargo Housing Market Index, a measure of homebuilder sentiment, steadily improved during the first half of 2023 as homebuilders reacted to a better-than-expected spring selling season, but then retreated as the 30-year fixed-rate mortgage neared 8% in November 2023. Homebuilder optimism returned in early 2024—breaching the neutral level of 50 in March and April 2024 for the first time since July 2023—amid a steady sales pace and growing hopes that interest-rate cuts would bolster demand for new homes. But sentiment again soured by the summer of 2024 as mortgage rates hovered around 7%, keeping more prospective buyers on the sidelines. The most recent index reading of 39 in March declined eight points since January as homebuilders expressed concerns about the demand environment and worried that tariffs would raise construction costs. Even so, 12 public homebuilders disclosed 2025 home delivery expectations, and in aggregate, these builders expect deliveries to grow 3%-6% in 2025. Still, considering ongoing affordability challenges, we think homebuilders will continue offering incentives to maintain a steady sales pace. While elevated sales incentives are a headwind for homebuilder gross profit margins, public homebuilder profitability is still better than it was before the pandemic.

Cautiously optimistic outlooks from the large public homebuilders contradict a more somber industrywide view, reflected by a below-neutral index since May 2024. We think that’s because larger homebuilders have greater access to financing and are better able to absorb lower net selling prices and a higher cost of capital. While public homebuilders have steadily gained share over the years, we estimate that 60%-65% of the market is controlled by private builders, many of which are small local players.

Economic Uncertainty Has Weighed on Homebuilder Sentiment



Above-Average Gross Margins Persist for Homebuilders Despite Higher Incentives

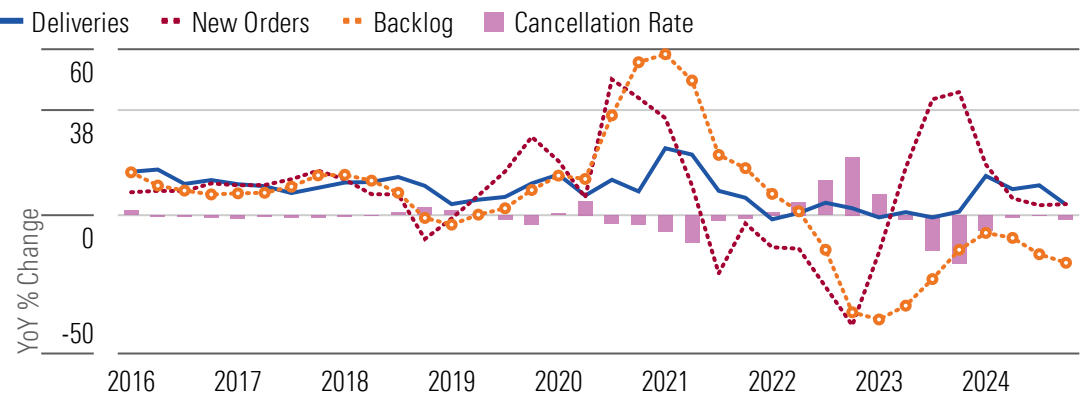


Source: National Association of Home Builders, Wells Fargo, homebuilder SEC filings, Morningstar.

See Important Disclosures at the end of this report.

Sales Incentives Have Buoyed New Home Sales and Spec Building Has Resulted in More Inventory

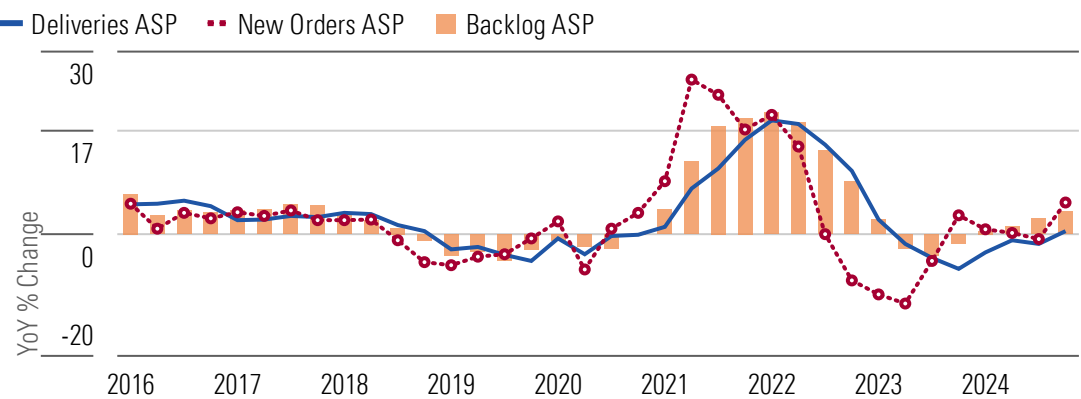
Sales Incentives Remain an Effective Tool to Stimulate Demand for New Homes



Public homebuilder new orders returned to growth in the second quarter of 2023, following seven consecutive quarters of year-over-year declines spanning 2021-23. For 2023, new orders increased nearly 11% year over year. Strong demand carried into 2024, and new orders grew another 10%. We believe cancellation rates have normalized over the last two years.

Sales incentives, price reductions, smaller floor plans, and a geographic sales shift to more affordable markets contributed to declining average selling prices over 2022-23. However, new order ASPs were roughly flat year over year through the first three quarters of 2024 and increased 5% during the fourth quarter, which tells us that homebuilders' pricing strategy was relatively unchanged last year.

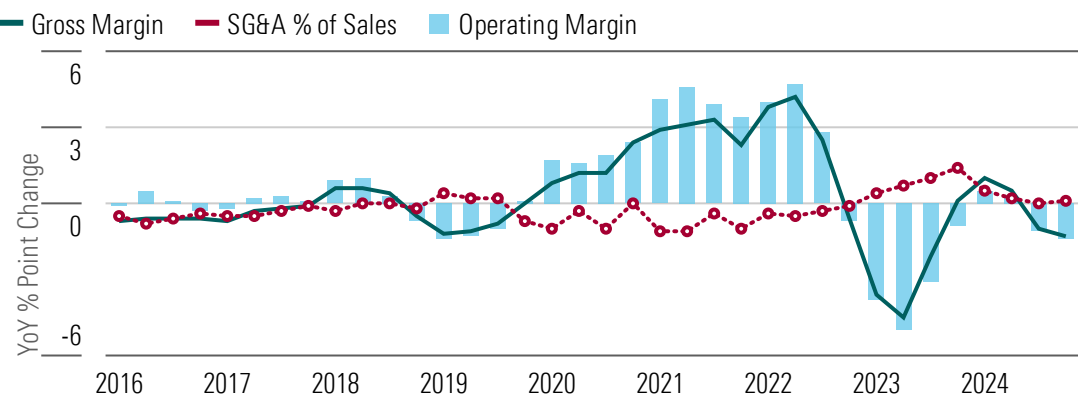
New Home Average Selling Prices Stabilized in 2024



Homebuilders have become more aggressive with speculative building to capture buyers who want to quickly close on a new home. Spec homes are sold at various stages of the construction process. Some are sold early enough to allow for significant customization, while others are sold after completion. For much of the last two years, this strategy paid off for homebuilders, but broader adoption of spec building across the industry has caused inventory of unsold completed homes to almost quadruple since the spring of 2022. They reached 121,000 units in February, above the historical average of 89,000 units, but well below the peak of 199,000 units during the global financial crisis. We expect unsold inventory will gradually shrink throughout 2025 as homebuilders continue to offer sales incentives to maintain a steady sales pace while also starting construction on fewer spec homes if needed.

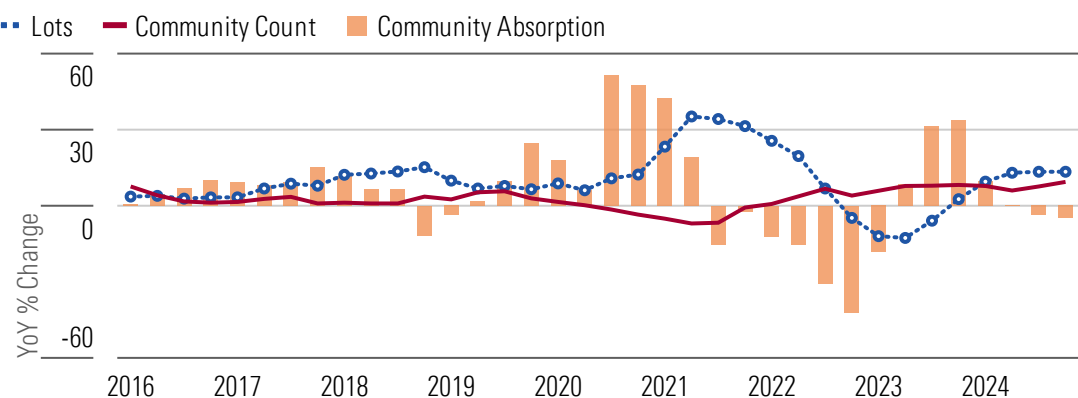
Homebuilder Gross Profit Margins Are Still Elevated Despite Higher Sales Incentives; Land Expansion Continues

Incentives Have Pressured Gross Profit Margins, but They're Still Above Average



Homebuilders realized tremendous pricing power in 2021 and the first half of 2022 as demand for new homes outstripped supply. Exceptional pricing power more than offset rising construction costs, resulting in robust gross margin expansion. Homebuilder gross margins rivaled or even surpassed profit margins achieved during the peak of the mid-2000s housing boom. However, pricing power waned in late 2022 as homebuilders became more aggressive with sales incentives and price reductions to spur demand and protect backlog orders. Because of these pricing actions, the average gross margin for public homebuilders has declined from a peak of approximately 27% in 2022 to nearly 22.5% during the fourth quarter of 2024. Nevertheless, that's still more than 300 basis points better than the prepandemic average.

Homebuilders Continue to Expand Land Positions



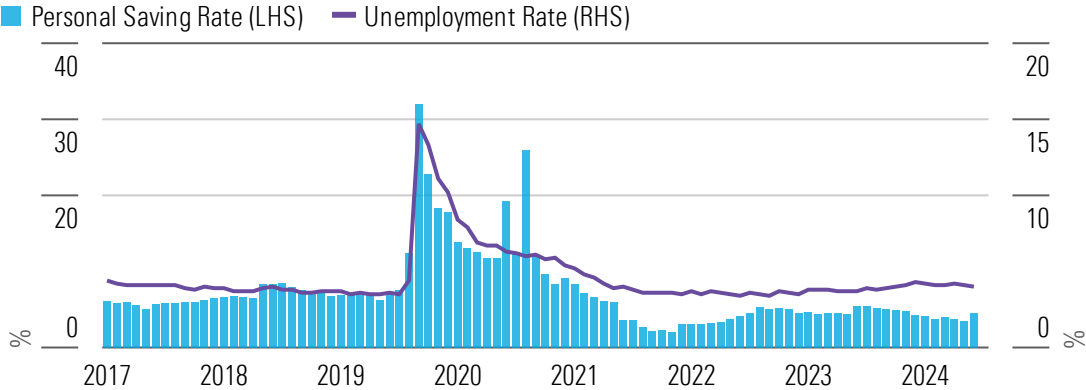
The fourth quarter of 2022 marked the first time the number of lots owned and controlled by public homebuilders declined year over year since we began tracking this data in 2016. This trend continued for four consecutive quarters as homebuilders became more cautious about land acquisitions amid slumping sales. However, lot expansion resumed in the fourth quarter of 2023 as new order growth returned. At the end of the fourth quarter of 2024, public homebuilders controlled 2.3 million lots, up 13% year over year. Despite a period of cautious land acquisition spending, homebuilders have increased the community count for 12 consecutive quarters and are positioned for growth in 2025.

Consumer Health and Sentiment

Consumers are wary of rising costs.

Housing Affordability Remains a Challenge and Tariff Uncertainty Has Weighed on Consumer Confidence

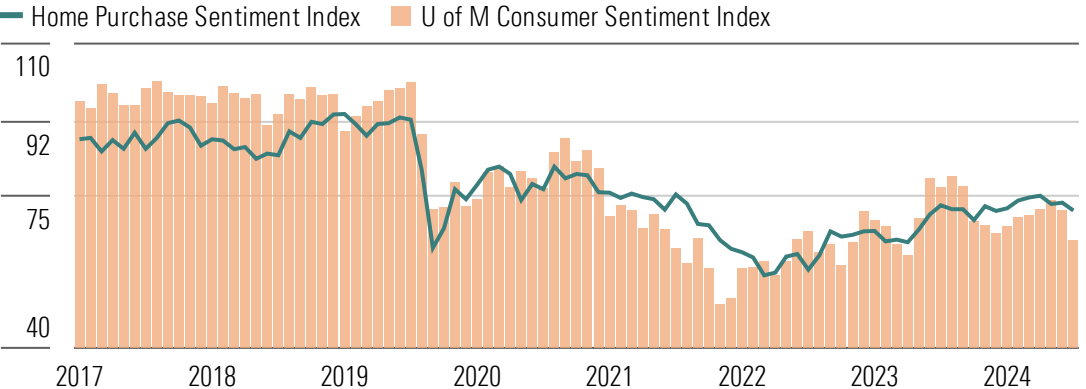
Consumers Are Saving Less, but Unemployment Remains Low



The University of Michigan Consumer Sentiment Index steadily improved from its June 2022 record low of 50.0 to 79.4 in March 2024, the highest since July 2021. However, sentiment has pulled back since then, with the index hovering around 70 for much of 2024. But consumer confidence deteriorated in February 2025, with an index reading of 64.6 compared with 76.9 one year earlier. The university cited tariffs as a primary concern with year-ahead inflation expectations increasing 100 basis points to 4.3%.

Unemployment ticked up slightly in 2024, but is still low at just above 4%. Even so, inflation has taken a toll on US households, with the personal saving rate falling well below prepandemic levels (4.6% in January compared with the 7.3% average in 2019) and consumer credit card balances exceeding prepandemic levels as some households have depleted their excess savings and resorted to credit card debt to fund spending. In our view, this data suggests there are fewer households with adequate savings for home purchase downpayments.

Consumers Are Worried that Higher Inflation May Return



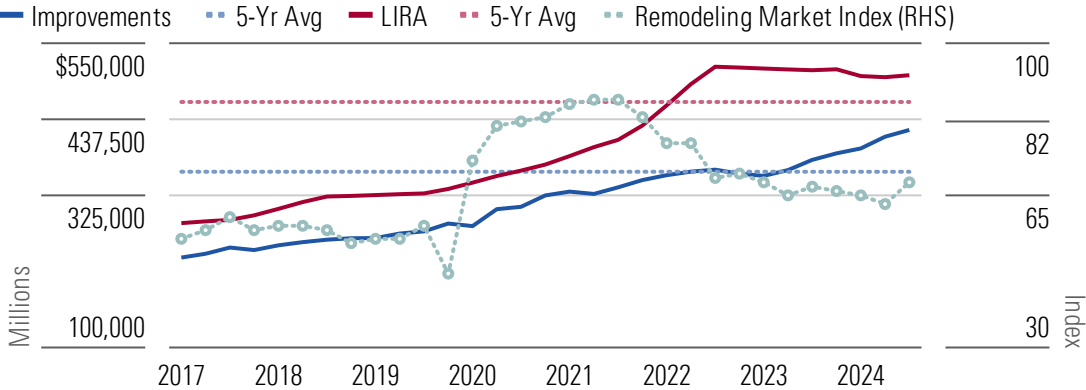
The Fannie Mae Home Purchase Sentiment Index stayed in the mid-60s for most of 2023 but improved in 2024 (72.5 average), partly due to consumers' expectations for lower mortgage rates. However, lower rates have not materialized and now only 30% of survey respondents expect lower rates, down from a survey-high 45% in November 2024. In February, only 24% of respondents thought it was a good time to buy a home, but that's still above the survey low of 14% in May 2024. From the index's inception in June 2010 until the end of 2019 (before the pandemic), 64% of respondents, on average, believed homebuying conditions were favorable. We think affordability remains the main issue for prospective homebuyers.

Repair and Remodel Spending

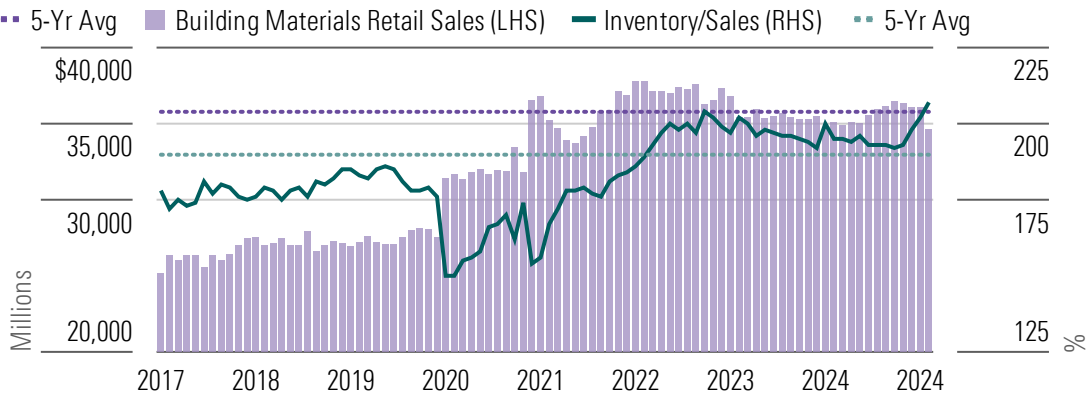
Softer repair and remodeling spending stabilized in 2024.

Repair and Remodel Spending Looks to Have Stabilized

Soft R&R Spending Persisted in 2024, but Stabilized Later in the Year



Recent Inventory Spike Is Likely Due to Prebuying Ahead of Tariffs



A repair and remodeling spending downturn began in the spring of 2023, and spending on residential improvements and building materials retail sales declined by approximately 7% and 4%, respectively, in 2023. By some measures, softer R&R spending persisted in 2024 but stabilized later in the year. For instance, the Harvard Joint Center for Housing Studies’ Leading Indicator of Remodeling Activity (a measure of homeowner spending on improvements and repairs) finished 2024 down 1.4% year over year, but it projects spending will increase 1.2% in 2025. Home improvement industry bellwethers Home Depot and Lowe’s both finally reported positive same-store sales growth during the fourth quarter after nearly two years of negative comps. Home Depot expects same-store sales to grow 1% in 2025, while Lowe’s is a bit more cautious with an outlook of 0%-1% same-store sales growth. Survey results from remodeler members of the National Association of Home Builders tell a similar story—the Remodeling Market Index had trended lower since 2021 but finally rebounded during the fourth quarter of 2024. According to the NAHB, demand for R&R projects was stronger than usual during the fall, especially for large, discretionary projects, job types that had seen subdued demand for some time.

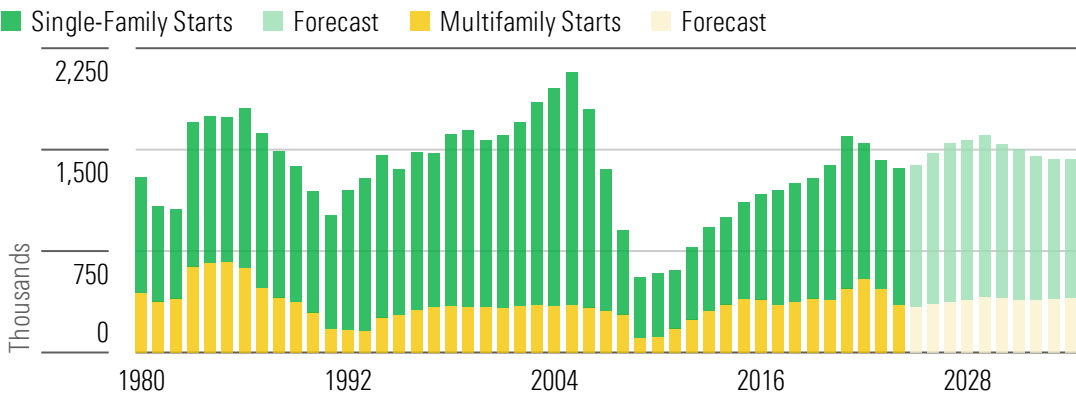
Improved spending data from the US Census Bureau and Bureau of Economic Analysis suggest R&R spending was much stronger in 2024, up roughly 10% year over year. However, as discussed in our [Industry Pulse: US Housing 2024 Q4](#), this data clashes with other data sources and financial performance from companies that serve the R&R market, so we expect US Census Bureau and BEA data will be revised down.

Forecasts

We project modest growth in housing starts and R&R spending this year.

We Project Modest Growth in Housing Starts in 2025

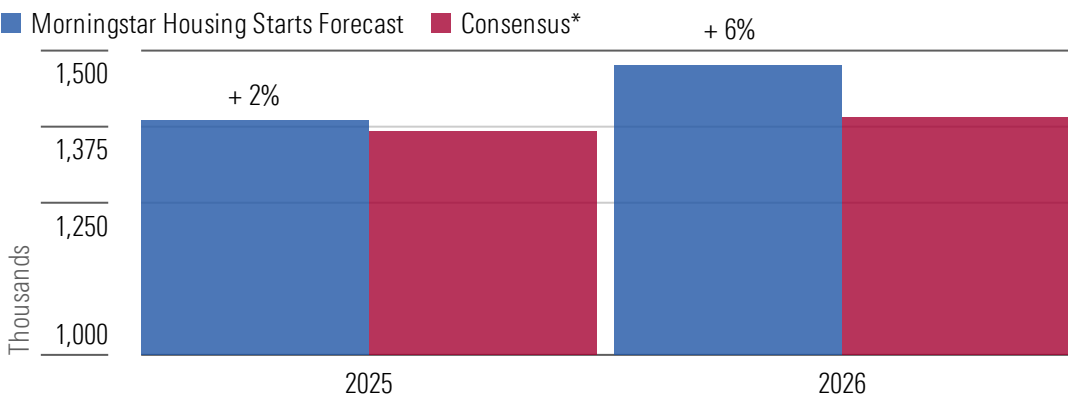
We Forecast Annual Starts to Average Nearly 1.5 Million Units This Decade



Total housing starts declined approximately 4% year over year in 2024 as a 25% drop in multifamily starts more than offset a 7% gain in single-family starts. Multifamily construction surged in 2021-22 as developers looked to capitalize on favorable rental market dynamics (attractive rent growth, high occupancy rates, and low capitalization rates). However, with a large supply of new multifamily units completed in 2024 and more to come in 2025, multifamily development cooled in 2023-2024. While we forecast multifamily starts will decline again in 2025 (by approximately 4%), we think 2025 will mark the bottom for multifamily construction and we expect multifamily starts will begin to rebound in 2026.

Despite what seems to be a mixed sales environment heading into the spring selling season, we still expect single-family starts to grow about 3% in 2025 as homebuilder sales incentives continue to attract buyers. However, we may revise that forecast depending on how the spring selling season plays out.

We're Modestly Above Consensus Due to Our More Dovish Interest-Rate Outlook



We still see a runway for greater headship and homeownership rates among younger Americans, especially if mortgage rates ease as we expect. Over the next 10 years, we forecast homebuilders will start roughly 1.1 million single-family homes annually, on average. There's some debate about the path ahead for multifamily housing starts, but we see an undersupply of affordable housing, a new immigration population that will need housing (assuming no mass deportations), and eventual lower interest rates as catalysts for more multifamily construction over the next decade. We forecast 0.4 million annual multifamily housing starts, on average, over the next 10 years.

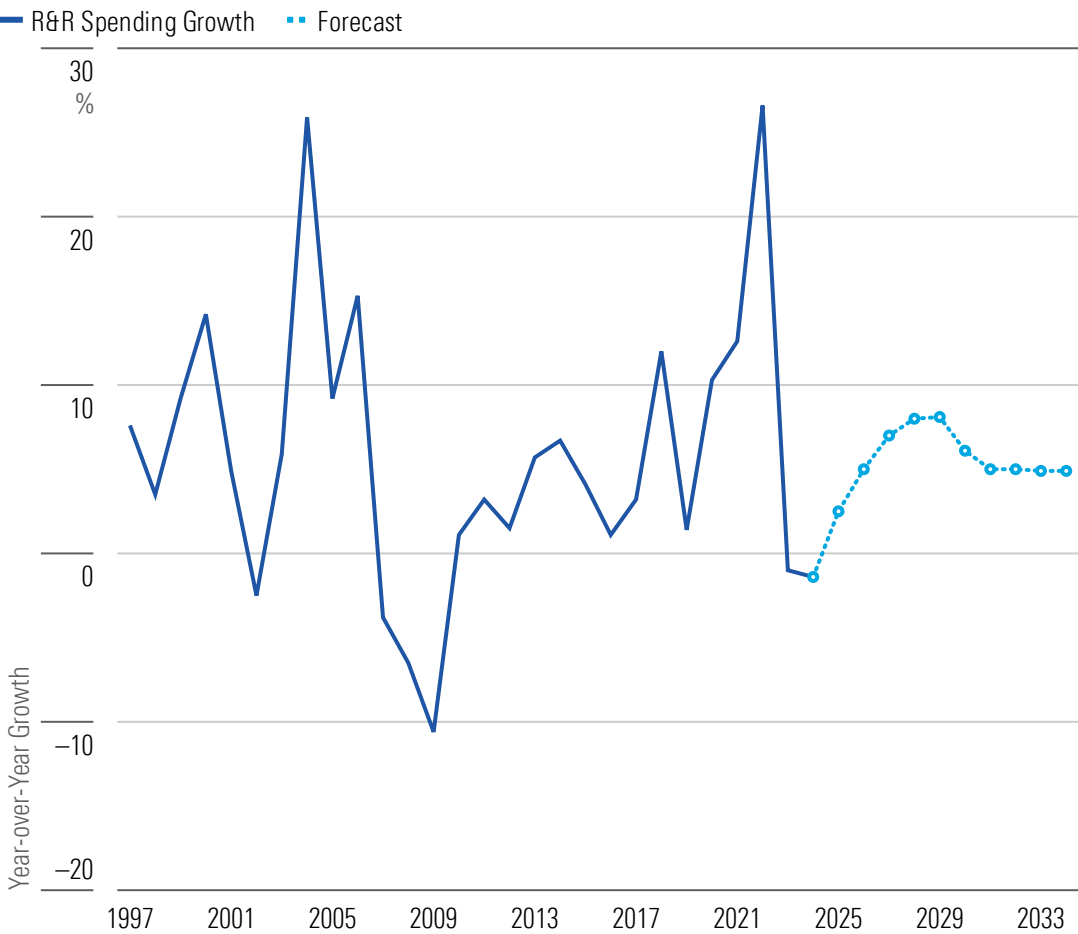
Source: US Census Bureau, Fannie Mae, National Association of Home Builders, Wells Fargo, Mortgage Bankers Association, Morningstar.

* "Consensus" is average estimates from Fannie Mae, National Association of Home Builders, Wells Fargo, and Mortgage Bankers Association

See Important Disclosures at the end of this report.

R&R Spending Should Rebound in 2025; Secular Tailwinds Support Solid Long-Term Growth

We Project R&R Spending to Grow at a Mid-Single-Digit Annual Pace This Decade



A downturn in R&R spending began in the spring of 2023 and persisted into 2024. That said, we think the R&R market stabilized toward the end of last year. While spending on larger-scale discretionary projects remains muted, likely a reflection of a more cautious consumer as well as the pull-forward of such projects during the R&R boom of 2021-22, some data suggests that demand for these types of projects has picked up. Housing turnover, a meaningful driver of R&R spending, remains below average and has yet to reach an inflection point due partly to little mortgage rate relief. Still, we think housing turnover has likely bottomed.

Despite some ongoing headwinds, two factors should buoy near-term R&R spending. First, many households have built significant home equity over the past several years, which boosts confidence to make home improvements and is a source of funding via home equity lines of credit. Second, higher mortgage rates and a lack of existing for sale inventory in many US markets have encouraged households to upgrade their current homes rather than search for new homes at higher mortgage rates. Morningstar forecasts the average 30-year mortgage rate to fall to 5.00% by 2027 (from nearly 6.7% in late March 2025). Such a rate move should lessen the rate lock-in effect, resulting in more housing turnover. Furthermore, a lower-rate environment could bolster consumers' willingness to embark on larger-scale projects. We project that R&R spending will rebound by a low-single-digit percentage in 2025 and we continue to see mid-single-digit long-term growth. We expect the R&R market will benefit from several long-term secular tailwinds related to aging housing stock, favorable demographics, and increased acceptance of smart-home and energy-efficient products and solutions.

Source: Bureau of Economic Analysis, Harvard Joint Center for Housing Studies, Morningstar.

See Important Disclosures at the end of this report.

Top Picks and Industry Coverage

Lennar, A.O. Smith, Wayfair, Sun Communities, and Weyerhaeuser are top picks.

Lennar’s Land-Light Shift Deserves a Higher Multiple; A.O. Smith Is an Overlooked High-Quality Company

Valuation and Investment Thesis

Lennar (LEN)						A. O. Smith (AOS)					
	Market Cap	Moat Rating	Last Close	Fair Value Est.	Rating		Market Cap	Moat Rating	Last Close	Fair Value Est.	Rating
P/FV	30B USD	None	114.78	164.00	★★★★	P/FV	9b USD	Wide	65.36	79.00	★★★★
1.75	Lennar is the second-largest homebuilder in the US based on home deliveries (next to D.R. Horton) and targets a mix of first-time, move-up, and active adult homebuyers across 26 states. The homebuilder has an excellent balance sheet with more homebuilding cash than debt. While Lennar has a large and geographically diverse land portfolio, it has become more asset-light, with 98% of its lots controlled via option contracts or unconsolidated joint ventures. Its recent spinoff of a \$6 billion land portfolio to Millrose Properties will result in even less land held on Lennar's balance sheet, which should result in stronger cash flow conversion and return on invested capital throughout the housing cycle. Homebuilder stocks have sold off since late 2024 as investors worry that poor homeownership affordability, elevated inventory of new unsold homes, and tariffs will weigh on the homebuilding industry this year. However, this view looks past the long-term need for new homes in the US. Furthermore, Lennar's current valuation doesn't give it much credit for its asset-light strategy shift. We suspect that management hopes that the market will eventually reward an asset-light Lennar with higher valuation multiples, like NVR. Indeed, according to FactSet data, NVR trades at 5 times its tangible book value compared with a multiple near 1.3 for Lennar.					1.75	A.O. Smith is a pure-play water technology firm and the largest manufacturer of water heaters in North America. Outside of the mature North American water heater market, expansion in foreign markets and water treatment products provide runways for growth. The company's stock price has been on a downward slide since 2024 guidance was lowered on Oct. 11, mainly due to weaker-than-expected sales in China, which accounted for 20% of sales last year. Nevertheless, fourth-quarter financial performance still fell short of FactSet consensus estimates. Even so, we view A.O. Smith as a high-quality company with a wide economic moat. The firm's North American water heater and boilers businesses (about 70% of sales) benefit from brand intangible assets that have supported strong profit margins and a transportation-related cost advantage that keeps would-be foreign competitors at bay for tank-style water heaters. The challenging operating backdrop in China may be an overhang for the stock even though China accounts for less than 10% of profits. Lackluster North American water heater shipments in 2024 and management's expectations for more of the same in 2025 have likely resulted in less enthusiasm for the stock, too. However, we expect sales will grow by a mid-single-digit percentage with earnings per share growing by a high-single-digit to low-double-digit percentage over 2026-29 as demand for water heaters strengthens in North America, the Chinese market recovers, and the firm scales up its water treatment business.				
1.50						1.50					
1.25						1.25					
1.00						1.00					
0.75						0.75					
0.50						0.50					
0.25						0.25					

Wayfair and Sun Communities Are Our Top Housing-Related Retail and Residential REIT Stock Picks

Valuation and Investment Thesis

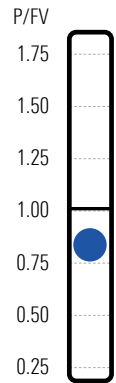
Wayfair (W)						Sun Communities (SUI)					
	<u>Market Cap</u>	<u>Moat Rating</u>	<u>Last Close</u>	<u>Fair Value Est.</u>	<u>Rating</u>		<u>Market Cap</u>	<u>Moat Rating</u>	<u>Last Close</u>	<u>Fair Value Est.</u>	<u>Rating</u>
P/FV	4B USD	None	32.03	70.00	★★★★★	P/FV	16b USD	None	128.64	160.00	★★★★
1.75	Wayfair is well positioned to grow its top line along with the industry, thanks to the opportunities it has carved out via its advertising business, loyalty efforts, and business-to-business expansion, which the market appears to be discounting. Wayfair's advertising, which was relatively insignificant just five years ago, is already on a solid growth trajectory. In 2019, less than 1% of sales came from advertising on the website, or roughly \$27 million. By 2023, this was closer to \$120 million (1% of sales). We expect advertising to represent 3%-4% of sales over time, implying nearly \$500 million in aggregate sales by 2028. Another avenue for top-line growth is expanding the company's B2B business, also known as Wayfair Professional, which sells to multiple industries, including education, food service, property management, office, interior design, and contractors. In 2023, the B2B business already represented more than \$2 billion of revenue (more than 15% of sales) but just 1% of the very fragmented \$200 billion total addressable market. If it doubles its share to 2% by 2026, this would be \$4 billion in B2B revenue or 30% of the total sales base we forecast for Wayfair at that time. On top of these opportunities, we suspect introducing a new loyalty program could also stabilize sales in the business-to-consumer channel. With these three opportunities, Wayfair should be able to recapture positive top-line growth and high-single-digit EBITDA margins by 2030.					1.75	Sun Communities owns a portfolio of manufactured housing communities, recreational vehicle communities, and marinas in desirable locations such as second homes or vacation properties. The company has been down nearly 35% since the beginning of 2022, primarily due to interest-rate movements. Historically, the company has heavily relied on acquisitions for growth, making the company more sensitive to interest-rate movements. However, we don't believe the volume of acquisitions significantly changes our fair value estimate for the company. Most of Sun's segments have produced strong same-store NOI growth over the past six years, with many nearing historical highs in 2023. However, the market seems focused on the transient recreational vehicle segment, which has declined over the past nine quarters. Management continues to make progress in converting transient business into annual memberships, which produces more stable revenues and tends to have higher growth over the long term. We believe Sun will produce same-store NOI above the residential REIT average over the next several years, and the market will recognize the strong internal growth story when interest rates stabilize.				
1.50											
1.25											
1.00											
0.75											
0.50											
0.25											

We Like Weyerhaeuser’s Timberland Portfolio

Valuation and Investment Thesis

Weyerhaeuser (WY)

	<u>Market Cap</u>	<u>Moat Rating</u>	<u>Last Close</u>	<u>Fair Value Est.</u>	<u>Rating</u>
P/FV	21B USD	None	29.28	35.00	★★★★



Our top pick is Weyerhaeuser due to its diverse exposure to wood products and its significant timberland portfolio. Weyerhaeuser is a real estate investment trust that distributes its REIT income to shareholders without paying corporate-level income taxes. It is also the largest private timberland owner in North America. Weyerhaeuser’s wood products business accounts for almost 75% of revenue and produces lumber, oriented strand board, and engineered wood products. Unlike most wood product producers, Weyerhaeuser owns nearly 10 million acres of timberland in the US. It uses timber from its land for its own wood products operations while also selling timber to competitors. The firm generates additional revenue streams from its timberlands, which can include leasing portions of land for oil and gas exploration, rights for extracting construction aggregates, and leases for solar and wind farms. While Weyerhaeuser’s wood products business faces near-term headwinds, operations tied to the company’s timberland portfolio should help offset some of the pullbacks.

We See Plenty of Investment Opportunities in Homebuilding and Building Products

Homebuilding and Building Materials, Products, and Equipment Coverage

Company (Ticker)	Industry	Market Cap (Billions)	Moat Rating	Uncertainty Rating	Last Close	Fair Value Estimate	Star Rating	P/FVE	P/E	EV/ EBITDA	Yield	1-Year Return*
D.R. Horton (DHI)	Residential Construction	40 USD	None	High	127.13	143.00	★★★	0.88	10.1x	8.2x	1.2%	-21.9%
Lennar (LEN)	Residential Construction	30 USD	None	High	114.78	164.00	★★★★	0.69	11.5x	8.1x	1.7%	-27.2%
Toll Brothers (TOL)	Residential Construction	10 USD	None	High	105.59	140.00	★★★★	0.75	7.6x	7.0x	0.9%	-17.7%
Homebuilding Cap-Weighted Average								0.79	10.3x	8.0x	1.4%	-23.4%
The Sherwin-Williams (SHW)	Coatings	88 USD	Wide	Medium	349.19	247.00	★	1.38	29.1x	21.2x	0.9%	+1.4%
Fortune Brands Innovations (FBIN)	Building Products	7 USD	Narrow	Medium	60.88	85.00	★★★★	0.72	14.4x	10.0x	1.6%	-27.0%
Masco (MAS)	Building Products	15 USD	Wide	Medium	69.54	86.00	★★★★	0.80	16.2x	11.5x	1.8%	-10.3%
James Hardie Industries (NYS: JHX)	Building Products	10 USD	Wide	Medium	23.56	35.00	★★★★	0.69	14.7x	9.1x	0.0%	-41.8%
Carrier Global (CARR)	HVAC	55 USD	Narrow	Medium	63.40	53.00	★★	1.19	21.1x	14.7x	1.4%	+10.4%
Lennox International (LII)	HVAC	20 USD	Narrow	Medium	560.83	430.00	★★	1.29	24.3x	17.9x	0.8%	+15.5%
Trane Technologies (TT)	HVAC	77 USD	Narrow	Medium	336.92	244.00	★	1.36	26.3x	18.4x	1.1%	+13.4%
A. O. Smith (AOS)	HVAC	9 USD	Wide	Medium	65.36	79.00	★★★★	0.83	17.3x		2.1%	-25.5%
Ferguson (FERG)	Distribution	32 USD	Narrow	Medium	160.23	170.00	★★★	0.94	18.1x	13.3x	1.9%	-25.2%
Watsco (WSO)	Distribution	21 USD	Narrow	Medium	508.30	330.00	★	1.52	34.9x	22.1x	2.3%	+20.2%
Building Materials, Products, and Equipment Cap-Weighted Average								1.23	24.5x	17.0x	1.3%	+2.0%

Source: Morningstar. Data as of March 31, 2025. *One-year total return.

See Important Disclosures at the end of this report.

Wayfair and Restoration Hardware Look Cheap as Are Most Residential REITs We Cover

Home Improvement and Home Goods Retail and Residential REITs Coverage

Company (Ticker)	Industry	Market Cap (Billions)	Moat Rating	Uncertainty Rating	Last Close	Fair Value Estimate	Star Rating	P/FVE	P/E	EV/ EBITDA	Yield	1-Year Return
The Home Depot (HD)	Home Improvement Retail	363 USD	Wide	Low	366.49	305.00	★★	1.17	24.4x	16.7x	2.5%	-2.1%
Lowe's Companies (LOW)	Home Improvement Retail	131 USD	Wide	Medium	233.23	230.00	★★★	0.99	19.0x	13.5x	2.0%	-6.7%
Restoration Hardware (RH)	Home Goods Retail	4 USD	None	Very High	234.41	325.00	★★★★	0.73	18.6x	11.0x	0.0%	-32.7%
Wayfair (W)	Home Goods Retail	4 USD	None	Very High	32.03	70.00	★★★★★	0.48	53.4x	14.0x	0.0%	-52.8%
Williams-Sonoma (WSM)	Home Goods Retail	20 USD	None	High	158.10	128.00	★★	1.24	18.6x	12.2x	1.8%	+1.0%
Home Improvement and Home Goods Retail Cap-Weighted Average								1.12	23.0x	15.7x	2.3%	-3.7%
AvalonBay Communities (AVB)	REIT - Residential	31 USD	None	Medium	214.62	232.00	★★★	0.92	39.3x	20.3x	3.3%	+19.4%
Equity Residential (EQR)	REIT - Residential	27 USD	None	Medium	71.58	80.00	★★★★	0.89	58.7x	18.6x	3.9%	+17.7%
Essex Property Trust (ESS)	REIT - Residential	20 USD	None	Medium	306.57	311.00	★★★	0.98	52.2x	20.5x	3.3%	+29.3%
Invitation Homes (INVH)	REIT - Residential	21 USD	None	Medium	34.85	41.00	★★★★	0.84	47.6x	18.7x	3.4%	+1.1%
Equity Lifestyle Properties (ELS)	REIT - Residential	13 USD	None	Medium	66.70	76.00	★★★★	0.87	33.9x	21.6x	3.1%	+6.6%
Sun Communities (SUI)	REIT - Residential	16 USD	None	Medium	128.64	160.00	★★★★	0.81	46.1x	20.1x	3.1%	+3.0%
Residential REITs Cap-Weighted Average								0.89	47.1x	19.8x	3.4%	+14.2%

Source: Morningstar. Data as of March 31, 2025. *One-year total return.

See Important Disclosures at the end of this report.

There Are a Few Compelling Opportunities in Wood Products

Wood Products Coverage

Company (Ticker)	Industry	Market Cap (Billions)	Moat Rating	Uncertainty Rating	Last Close	Fair Value Estimate	Star Rating	P/FVE	P/E	EV/EBITDA	Yield	1-Year Return
Canfor (TSE:CFP)	Wood Products	2 CAD	None	High	15.10	20.00	★★★★	0.74	na	7.8x	0.0%	-16.2%
Louisiana-Pacific (LPX)	Wood Products	6 USD	None	High	91.98	71.00	★★	1.29	16.7x	10.0x	1.2%	+10.9%
Rayonier (RYN)	Wood Products	4 USD	None	Medium	27.88	32.00	★★★★	0.87	50.3x	18.6x	4.5%	-7.3%
West Fraser Timber Co. (WFG)	Wood Products	6 USD	None	High	76.94	90.00	★★★	0.84	16.6x	5.7x	1.7%	-9.5%
Weyerhaeuser (WY)	Wood Products	21 USD	None	Medium	29.28	35.00	★★★★	0.84	38.7x	16.0x	2.8%	-16.2%
Wood Products Cap-Weighted Average								0.91	31.1x	13.3x	2.4%	-10.1%

Quarterly Data Tables

Households and Homeownership, Mortgage Lending, and Home Sales

Households and Homeownership	Units	Q4-23	Q3-24	Q4-24	Q/Q	Y/Y
Owner-Occupied Households	Thousands	86,220	86,620	86,943	0.4%	0.8%
Renter-Occupied Households	Thousands	44,985	45,494	45,462	-0.1%	1.1%
Total Occupied Households	Thousands	131,205	132,114	132,405	0.2%	0.9%
Total Vacant Units	Thousands	14,761	14,915	15,014	0.7%	1.7%
Total Housing Stock	Thousands	145,966	147,029	147,419	0.3%	1.0%
Homeownership Rate	%	65.7%	65.6%	65.7%	0.1%	0.0%
Owner-Occupied Vacancy Rate	%	0.9%	1.0%	1.1%	0.1%	0.2%
Rental Vacancy Rate	%	6.6%	6.9%	6.9%	0.0%	0.3%
Mortgage Originations	Units	Q4-23	Q3-24	Q4-24	Q/Q	Y/Y
Purchase Mortgage Originations (Dollars)	\$ Billions	\$324	\$357	\$304	-14.8%	-6.2%
Purchase Mortgage Originations (Volume)	Thousands	804	924	780	-15.6%	-3.0%
Mortgage Credit Availability Index	Index	95.6	98.5	97.2	-1.3%	1.7%
Home Sales (SAAR)*	Units	Q4-23	Q3-24	Q4-24	Q/Q	Y/Y
Existing Home Sales	Thousands	3,880	3,937	4,163	5.8%	7.3%
New Home Sales	Thousands	646	708	679	-4.1%	5.1%
Total Home Sales	Thousands	4,526	4,645	4,842	4.2%	7.0%
Pending Existing Home Sales	Index	75.1	72.9	75.9	4.2%	1.1%

Source: US Census Bureau Building Permits Survey, Survey of Construction, and Value of Construction Put in Place Survey, National Association of Realtors, Morningstar.
*Data is the average seasonally adjusted annualized rate for the displayed period. Most recent quarterly data is shown. All first-quarter data will not be available until May.

See Important Disclosures at the end of this report.

Residential Construction and Supply of Homes

Residential Construction (SAAR)*	Units	Q4-23	Q3-24	Q4-24	Q/Q	Y/Y
Single-Family Permits	Thousands	1,001	957	981	2.5%	-2.0%
Multifamily Permits	Thousands	523	477	484	1.5%	-7.6%
Total Permits	Thousands	1,524	1,434	1,465	2.2%	-3.9%
Single-Family Starts	Thousands	1,060	971	1,016	4.7%	-4.1%
Multifamily Starts	Thousands	421	361	372	3.0%	-11.7%
Total Starts	Thousands	1,481	1,332	1,388	4.2%	-6.3%
Single-Family Completions	Thousands	994	1,046	974	-6.9%	-2.0%
Multifamily Completions	Thousands	474	646	624	-3.5%	31.5%
Total Completions	Thousands	1,468	1,692	1,598	-5.6%	8.8%
Single-Family Construction Spending	\$ Billions	\$425	\$420	\$425	1.1%	-0.1%
Multifamily Construction Spending	\$ Billions	\$134	\$125	\$119	-5.0%	-11.2%
Total Construction Spending	\$ Billions	\$560	\$546	\$544	-0.3%	-2.7%
Supply of Homes (SAAR)*	Units	Q4-23	Q3-24	Q4-24	Q/Q	Y/Y
Inventory of Existing Homes for Sale	Thousands	1,090	1,357	1,280	-5.7%	17.4%
Months' Supply of Existing Homes for Sale	Months	3.4	4.1	3.7	-10.5%	8.8%
Inventory of New Homes for Sales	Thousands	447	469	485	3.3%	8.5%
Months' Supply of New Homes for Sale	Months	8.3	8.0	8.6	7.9%	3.6%

Source: US Census Bureau Building Permits Survey, Survey of Construction, and Value of Construction Put in Place Survey, National Association of Realtors, Morningstar.
*Data is the average seasonally adjusted annualized rate for the displayed period. Most recent quarterly data is shown. All first-quarter data will not be available until May.

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Affordability, Construction Costs, and Homebuilder Sentiment

Affordability*	Units	Q4-23	Q3-24	Q4-24	Q/Q	Y/Y
Average 30-Year Fixed Rate Mortgage	%	7.3%	6.5%	6.7%	0.1%	-0.6%
Median Sales Price for New Homes Sold	\$ Thousands	\$422	\$419	\$413	-1.4%	-2.2%
Median Sales Price of Existing Homes	\$ Thousands	\$387	\$414	\$405	-2.2%	4.7%
New Home Price Premium	%	9.0%	1.1%	1.9%	0.8%	-7.2%
Mortgage Payment as % of Gross Income	%	32.2%	30.7%	30.4%	-0.3%	-1.8%
Construction Inputs*	Units	Q4-23	Q3-24	Q4-24	Q/Q	Y/Y
Construction Labor Supply	Thousands	8,087	8,239	8,277	0.5%	2.4%
Construction Unemployment Rate	%	4.4%	3.6%	4.7%	1.1%	0.3%
Construction Labor Hourly Wages	\$	\$34.86	\$35.93	\$36.32	1.1%	4.2%
Producer Price Index - Lumber	Index	243.8	251.5	262.5	4.4%	7.6%
Producer Price Index - Building Materials Dealers	Index	207.3	214.0	214.4	0.2%	3.4%
Homebuilder Sentiment*	Units	Q4-23	Q3-24	Q4-24	Q/Q	Y/Y
NAHB Housing Market Index	Index	37.0	40.3	45.0	11.6%	21.6%
NAHB HMI: Single-Family - Present	Index	42.3	45.0	47.7	5.9%	12.6%
NAHB HMI: Single-Family - Next 6 Months	Index	42.7	50.0	62.0	24.0%	45.3%
NAHB HMI: Traffic of Prospective Buyers	Index	23.7	26.3	30.7	16.5%	29.6%

Source: US Census Bureau, US Bureau of Labor and Statistics, Freddie Mac, National Association of Realtors, National Association of Home Builders, Wells Fargo, Morningstar.
*Three-month average for the displayed period. Most recent quarterly data is shown. All first-quarter data will not be available until May.

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Consumer Health and Sentiment

Consumer Health*	Units	04-23	03-24	04-24	Q/Q	Y/Y
University of Michigan Consumer Sentiment	Index	64.9	68.1	72.1	5.8%	11.0%
Nominal Median Wage Growth	%	5.2%	4.7%	4.4%	-0.3%	-0.8%
Personal Saving Rate	%	4.5%	4.1%	3.8%	-0.3%	-0.7%
Unemployment Rate	%	3.7%	4.2%	4.1%	-0.1%	0.4%
NHS - Not Concerned About Job Security	%	76.3%	77.3%	78.0%	0.7%	1.7%
NHS - Household Income Higher YoY	%	19.7%	17.7%	17.0%	-0.7%	-2.7%
NHS - Better Financial Situation NTM	%	30.3%	32.7%	41.3%	8.7%	11.0%
NHS - Economy on Right Track	%	25.0%	29.7%	31.3%	1.7%	6.3%
Homebuyer Sentiment*	Units	04-23	03-24	04-24	Q/Q	Y/Y
Home Purchase Sentiment Index	Index	65.5	72.5	74.2	2.4%	13.4%
NHS - Good Time to Buy	%	15.3%	17.7%	21.7%	4.0%	6.3%
NHS - Good Time to Sell	%	60.0%	65.0%	63.7%	-1.3%	3.7%
NHS - Would Buy if Moved	%	66.7%	66.7%	65.7%	-1.0%	-1.0%
NHS - Home Prices Will Go Up	%	40.0%	39.0%	38.3%	-0.7%	-1.7%
NHS - Mortgage Rates Will Go Down	%	23.0%	36.7%	42.0%	5.3%	19.0%
NHS - Mortgages Are Easy to Obtain	%	42.0%	42.0%	43.0%	1.0%	1.0%

Source: University of Michigan, Federal Reserve Bank of Atlanta, US Bureau of Labor Statistics, US Bureau of Economic Analysis, Fannie Mae, Morningstar.
*Three-month average for the displayed period. NHS refers to Fannie Mae's National Housing Survey. Most recent quarterly data is shown. All first-quarter data will not be available until May.

See Important Disclosures at the end of this report.

Repair and Remodel Spending

R&R Spending (SAAR)*	Units	Q4-23	Q3-24	Q4-24	Q/Q	Y/Y
Residential Improvement Spending**	\$ Billions	\$321.5	\$362.8	\$383.8	5.8%	19.4%
JCHS Leading Indicator of Remodeling Activity***	\$ Billions	\$510.1	\$499.8	\$502.7	0.6%	-1.4%
Retail Sales - Building Materials Dealers**	\$ Billions	\$35.4	\$36.2	\$35.9	-0.8%	1.5%
Inventory - Building Materials Dealers**	\$ Billions	\$79.2	\$79.7	\$81.5	2.3%	3.0%
Inventory/Sales - Building Materials Dealers**	%	193.7%	192.7%	198.0%	5.3%	4.3%
NAHB Remodeling Market Index (RMI)	Index	67	63	68	7.9%	1.5%
RMI Current Conditions Index (CCI)	Index	74	72	75	4.2%	1.4%
RMI Future Indicator Index (FII)	Index	59	55	61	10.9%	3.4%

Source: US Census Bureau SOC, US BEA, Harvard University Joint Center for Housing Studies, US Census Bureau Monthly Retail Trade Survey, National Association of Home Builders, Morningstar.
*Excluding RMI, retail sales data, and LIRA data, all other data is annualized and seasonally adjusted. **Average three-month spending for displayed period, adjusted for seasonality.
***LIRA data is trailing four-quarter average. Most recent quarterly data is shown. All first-quarter data will not be available until May.

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